

Capital Gains Tax Exemption Bonds

As per provisions of Income Tax Act and as we studied in the last section, any long term capital gains arising from transfer of any capital asset would be exempt from tax under section 54EC of the Act if the entire capital gain realized is invested within 6 months of the date of transfer in eligible bonds and such investment is held for 3 years

To avail of capital gain exemption, the bonds so acquired cannot be transferred or converted into money or any loan or advance can be taken on security of such bond within 3 years from date of acquisition else, the benefit would be withdrawn.

If the amount invested in bonds is less than the capital gains realized, only proportionate capital gains would be exempt from tax.

To enable you to save taxes on Capital Gains, the government currently provides two bonds under Section 54 EC.

- RECL (Rural Electrification Corporation Ltd)
- NHAI (National Highways Authority of India).

The minimum investment is ₹10,000/- while the maximum investment limit amount is ₹50 Lakhs in a financial year. The interest rate on these bonds is 6% per annum. You can claim exemption under 54C with the exemption 54 and 54EC. The block period for the investment of these two companies is 3 years. These bonds pay annual interest.

Are bonds safer than stocks?

Bonds have been traditionally assumed to be safer than stocks. But if there is a chance that you may have to sell them before the maturity period, the interest rate can vary a lot depending on the market conditions.

Unlike bank fixed deposits, current market interest rates govern the price of a bond when you try to sell it, unless you sell it only when it matures.